

17 Mar 2026 05:15:52 ET | 15 pages

Delta Electronics (2308.TW)

AI Infrastructure Power: The Core Structural Growth Driver

CITI'S TAKE

We hereby transfer coverage of Delta to Laura (Chia Yi) Chen from Carrie Liu. We have a Buy rating on Delta but lift our TP to NT\$1,960 (from NT\$1,225) based on a slightly higher multiple of 35x after rolling forward to 2027 EPS, thanks to Delta's potential margin expansion and better order visibility. During Nvidia's GTC 2026, Delta showcased a full-stack AI infrastructure power solution, positioning itself not just as a component supplier but also as a system-level power solution enabler of AI data centers. The core of the demonstration centered on high-voltage power architecture, advanced liquid cooling, and energy management integration, all aligned with the rapid rise in rack power density driven by next-generation AI systems.

HVDC power solution represents a significant technological step — A key highlight was Delta's 800V DC power distribution architecture, designed to improve efficiency and scalability for high-density GPU clusters. The system features up to 98% efficient power conversion, simplified cabling, and MGX-compatible power shelves, targeting the challenges of >200kW rack environments. As we see AI data center is gradually shifting from traditional AC-based power distribution toward high-voltage direct current (HVDC) architectures, this trend could significantly improve efficiency and reduce power losses. We expect 400V HVDC to begin contributing to Delta's revenue earlier than previously anticipated, with 800V HVDC solutions likely to ramp later into 2027. In addition, Delta is developing solid-state transformer (SST) solutions, which represent a next-generation approach to power conversion. SST technology can significantly improve power distribution efficiency by integrating high-frequency power electronics with digital control systems.

Multi-tier CDU portfolio, spanning both rack-level and facility-level deployments — On the thermal side, Delta demonstrated rack-scale liquid cooling solutions, including high-capacity coolant distribution units (CDUs), addressing the growing thermal constraints of AI workloads. The company showcased a multi-tier CDU portfolio, spanning both rack-level and facility-level deployments, signaling a clear move beyond component supply toward system-level thermal integration. At the rack level, Delta demonstrated compact in-rack CDUs designed to support direct-to-chip liquid cooling for high-power AI systems such as NVL72-class racks. At the infrastructure level, the company introduced multi-megawatt CDUs (up to ~3MW capacity), capable of supporting multiple racks or entire AI pods. This two-tier architecture—rack CDU plus facility CDU—aligns with hyperscaler designs and enables scalable thermal management as rack power density exceeds 200kW.

Earnings Summary

Year to 31 Dec	Net Profit (NT\$M)	Diluted EPS (NT\$)	EPS growth (%)	P/E (x)	P/B (x)	ROE (%)	Yield (%)
2023A	33,393	12.86	2.2	112.0	15.1	14.1	0.4
2024A	35,229	13.56	5.5	106.2	12.9	13.1	0.5
2025E	60,108	23.14	70.6	62.2	11.4	19.4	0.8
2026E	94,235	36.28	56.8	39.7	9.1	25.4	1.3
2027E	146,547	56.42	55.5	25.5	6.9	30.6	2.0

Source: Powered by dataCentral

Buy

Price (17 Mar 26 13:30)	NT\$1,440.00
Target price	NT\$1,960.00↑ from NT\$1,225.00
Expected share price return	36.1%
Expected dividend yield	0.8%
Expected total return	36.9%
Market Cap	NT\$3,740,462M US\$117,025M

Price Performance (RIC: 2308.TW, BB: 2308 TT)



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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

2308.TW: Fiscal year end 31-Dec						Price: NT\$1,440.00; TP: NT\$1,960.00; Market Cap: NT\$3,740,462m; Recomm: Buy					
Profit & Loss (NT\$m)	2023	2024	2025E	2026E	2027E	Valuation ratios	2023	2024	2025E	2026E	2027E
Sales revenue	401,227	421,148	554,885	745,905	1,016,921	PE (x)	na	na	62.2	39.7	25.5
Cost of sales	-284,013	-284,567	-364,729	-470,307	-610,267	PB (x)	15.1	12.9	11.4	9.1	6.9
Gross profit	117,213	136,580	190,157	275,598	406,654	EV/EBITDA (x)	57.4	49.0	31.2	20.4	13.3
Gross Margin (%)	29.2	32.4	34.3	36.9	40.0	FCF yield (%)	1.2	1.1	0.9	3.3	4.0
EBITDA (Adj)	62,540	72,668	113,474	171,644	257,875	Dividend yield (%)	0.4	0.5	0.8	1.3	2.0
EBITDA Margin (Adj) (%)	15.6	17.3	20.4	23.0	25.4	Payout ratio (%)	50	52	52	52	52
Depreciation	-21,590	-25,016	-29,542	-28,304	-31,704	ROE (%)	14.1	13.1	19.4	25.4	30.6
Amortisation	0	0	0	0	0	Cashflow (NT\$m)	2023	2024	2025E	2026E	2027E
EBIT (Adj)	40,950	47,652	83,932	143,340	226,171	EBITDA	62,540	72,668	113,474	171,644	257,875
EBIT Margin (Adj) (%)	10.2	11.3	15.1	19.2	22.2	Working capital	12,411	4,363	-58,007	-6,080	-72,459
Net interest	899	1,859	1,501	1,808	1,717	Other	-3,864	-4,136	-6,030	-2,989	-11,645
Associates	222	365	5	461	269	Operating cashflow	71,086	72,895	49,437	162,575	173,771
Non-Op/Except/Other Adj	6,571	1,439	2,429	4,295	5,122	Capex	-27,830	-33,485	-16,090	-40,000	-24,000
Pre-tax profit	48,642	51,316	87,866	149,904	233,279	Net acq/disposals	-5,881	-6,571	5,059	0	0
Tax	-9,762	-10,925	-19,930	-34,478	-53,654	Other	209	-304	-2,611	2,481	-269
Extraord./Min.Int./Pref.div.	-5,488	-5,163	-7,828	-21,191	-33,078	Investing cashflow	-33,502	-40,360	-13,643	-37,519	-24,269
Reported net profit	33,393	35,229	60,108	94,235	146,547	Dividends paid	-27,455	-18,696	-18,183	-31,024	-48,638
Net Margin (%)	8.3	8.4	10.8	12.6	14.4	Financing cashflow	-10,478	-11,118	-10,719	-52,215	-81,716
Core NPAT	33,393	35,229	60,108	94,235	146,547	Net change in cash	25,909	30,003	25,076	72,841	67,785
Per share data	2023	2024	2025E	2026E	2027E	Free cashflow to s/holders	43,257	39,410	33,347	122,575	149,771
Reported EPS (\$)	12.86	13.56	23.14	36.28	56.42						
Core EPS (\$)	12.86	13.56	23.14	36.28	56.42						
DPS (\$)	6.43	7.00	11.94	18.72	29.12						
CFPS (\$)	27.37	28.06	19.03	62.59	66.90						
FCFPS (\$)	16.65	15.17	12.84	47.19	57.66						
BVPS (\$)	95.40	111.57	126.62	159.11	209.54						
Wtd avg ord shares (m)	2,598	2,598	2,598	2,598	2,598						
Wtd avg diluted shares (m)	2,598	2,598	2,598	2,598	2,598						
Growth rates	2023	2024	2025E	2026E	2027E						
Sales revenue (%)	4.4	5.0	31.8	34.4	36.3						
EBIT (Adj) (%)	-1.2	16.4	76.1	70.8	57.8						
Core NPAT (%)	2.2	5.5	70.6	56.8	55.5						
Core EPS (%)	2.2	5.5	70.6	56.8	55.5						
Balance Sheet (NT\$m)	2023	2024	2025E	2026E	2027E						
Cash & cash equiv.	92,620	121,793	136,902	184,819	217,703						
Accounts receivables	79,380	89,921	132,833	160,248	231,877						
Inventory	81,756	89,706	136,375	164,961	228,700						
Net fixed & other tangibles	98,002	115,710	102,259	113,955	106,251						
Goodwill & intangibles	0	0	0	0	0						
Financial & other assets	105,990	114,768	114,833	116,324	122,156						
Total assets	457,747	531,898	623,202	740,306	906,687						
Accounts payable	53,539	69,223	90,832	115,828	143,837						
Short-term debt	5,875	8,121	21,655	21,655	21,655						
Long-term debt	22,320	32,209	32,200	32,200	32,200						
Provisions & other liab	133,277	142,779	167,680	196,578	237,041						
Total liabilities	215,011	252,332	312,367	366,262	434,733						
Shareholders' equity	247,816	289,809	328,905	413,307	544,294						
Minority interests	-5,081	-10,243	-18,071	-39,262	-72,340						
Total equity	242,735	279,565	310,834	374,045	471,954						
Net debt (Adj)	-64,425	-81,463	-83,047	-130,963	-163,848						
Net debt to equity (Adj) (%)	-26.5	-29.1	-26.7	-35.0	-34.7						

For definitions of the items in this table, please click [here](#).

AI data center to lead strong earnings growth

During Nvidia's GTC 2026, CEO Jensen Huang stated that AI factories are now energy-limited systems, where scaling performance depends on the ability to deliver and dissipate massive amounts of power at the rack and cluster level. He highlighted that rack power density is rising rapidly with each generation, implicitly pointing toward Rubin and Rubin Ultra systems exceeding traditional data center limits. On the thermal side, he explicitly stated that direct liquid cooling at the rack level has become more essential. This marks a structural shift from chip-level cooling optimization to full system and facility-level thermal design. We believe the trend will continue to be favorable for Delta – the convergence of higher power density servers, rack-level power architectures, and advanced thermal management positions Delta at the center of the AI infrastructure supply chain.

We anticipate Delta's AI power supply unit (PSU) segment to experience accelerating growth, as AI rack shipments are doubling. In particular, we expect the transition toward higher power server PSUs to significantly expand Delta's revenue contribution from AI infrastructure. We also expect the move toward $\pm 400V$ DC/800V DC power architectures and high-density power distribution in hyperscale AI clusters to structurally increase the company's addressable market. This shift reflects the growing power requirements of AI servers and the need for more efficient energy distribution within data centers.

In addition to HVDC architectures, Delta is developing solid-state transformer (SST) solutions, which represent a next-generation approach to power conversion. SST technology can significantly improve power distribution efficiency by integrating high-frequency power electronics with digital control systems.

We lift our earnings projections for Delta for 2026/2027 by 13%/39% and anticipate the AI infrastructure power solution to be the core of its structural growth driver. Thanks to AI data center's structural growth, we estimate its AI power solution will be able to contribute 15-20% to its revenue in 2026 vs ~10% in 2025. Given the rapid expansion in AI infrastructure demand, Delta is undertaking an aggressive global capacity expansion strategy. Management has indicated that capital expenditures will increase further in 2026 and beyond, primarily to support production of AI-related power and infrastructure products. We have a Buy rating and lift our TP to NT\$1,960 (from NT\$1,225; based on 35x PE on 2027 EPS estimate, our PER target is raised to 35x from 34x; we also roll forward to 2027 EPS). Given Delta's potential margin expansion and solid order visibility, we think the higher multiple is justified considering its historical PER range was at 11-36x during recent 3 years.

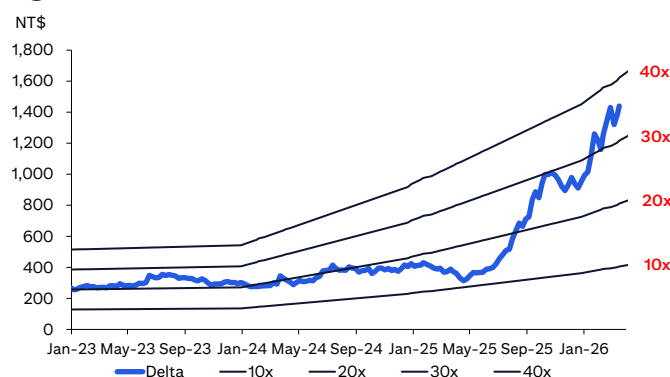
Figure 1. Delta – Earnings estimate revisions

NT\$ mn	2025E			2026E			2027E		
	New	Old	Chg	New	Old	Chg	New	Old	Chg
Revenue	554,885	553,483	0%	745,905	699,265	7%	1,016,921	827,537	23%
Gross profit	190,157	190,661	0%	275,598	252,036	9%	406,654	305,647	33%
OPEX	106,224	105,588	1%	132,259	125,108	6%	180,483	144,668	25%
Operating profit	83,932	85,073	-1%	143,340	126,928	13%	226,171	160,980	40%
Pre-tax profit	87,866	91,571	-4%	149,904	133,341	12%	233,279	167,467	39%
Net profit	60,108	61,545	-2%	94,235	83,764	13%	146,547	105,173	39%
EPS (NT\$)	23.14	23.69	-2%	36.28	32.25	13%	56.42	40.49	39%
Ratio	New	Old	diff	New	Old	diff	New	Old	diff
Gross margin (%)	34.3	34.4	-0.2	36.9	36.0	0.9	40.0	36.9	3.1
OPEX to Sales ratio (%)	19.1	19.1	0.1	17.7	17.9	-0.2	17.7	17.5	0.3
Operating margin (%)	15.1	15.4	-0.2	19.2	18.2	1.1	22.2	19.5	2.8
Net margin (%)	10.8	11.1	-0.3	12.6	12.0	0.7	14.4	12.7	1.7

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Source: Citi Research Estimates

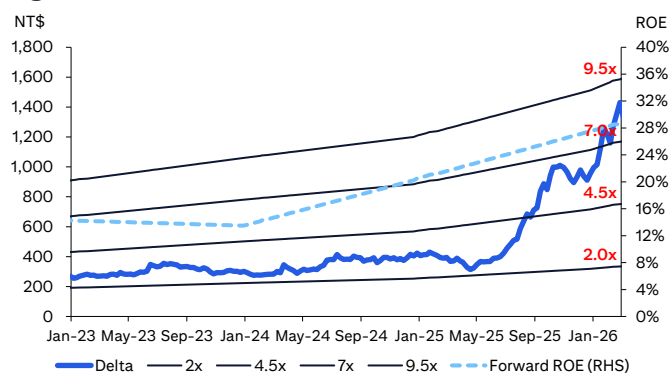
Figure 2. Delta – Forward P/E band



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Source: Company Reports, Citi Research Estimates, TEJ

Figure 3. Delta – Forward P/B band



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Source: Company Reports, Citi Research Estimates, TEJ

Figure 4. Delta – Quarterly earnings forecasts

NT\$m	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E	2024	2025	2026E	2027E
Net sales	118,919	124,035	150,318	161,613	152,940	173,128	204,799	215,038	421,148	554,885	745,905	1,016,921
Gross profit	37,788	44,049	52,416	55,903	53,742	62,103	76,510	83,243	136,580	190,157	275,598	406,654
OPEX	23,752	25,380	27,607	29,485	29,783	31,863	33,851	36,762	88,928	106,224	132,259	180,483
Operating profit	14,036	18,669	24,809	26,418	23,959	30,240	42,659	46,481	47,652	83,932	143,340	226,171
Total Non-OP	1,627	902	2,174	-770	1,685	1,741	1,560	1,579	3,664	3,934	6,564	7,108
Pre-tax profit	15,663	19,571	26,983	25,649	25,644	31,981	44,219	48,059	51,316	87,866	149,904	233,279
Income tax	3,620	4,237	6,062	6,011	5,898	7,356	10,170	11,054	10,925	19,930	34,478	53,654
Net profit	10,231	13,948	18,606	17,324	15,994	19,947	27,579	30,715	35,229	60,108	94,235	146,547
EPS (NT\$)	3.94	5.37	7.16	6.67	6.16	7.68	10.62	11.82	13.56	23.14	36.28	56.42
Product Mix (%)												
Power Electronics	59%	60%	56%	62%	61%	61%	60%	61%	64%	59%	61%	66%
Infrastructure	29%	29%	35%	30%	31%	32%	32%	32%	24%	31%	32%	29%
Automation	12%	11%	9%	8%	8%	8%	7%	7%	12%	10%	7%	6%
Others	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%
Margins (%)												
Gross profit	31.8	35.5	34.9	34.6	35.1	35.9	37.4	38.7	32.4	34.3	36.9	40.0
OPEX to Sales Ratio	20.0	20.5	18.4	18.2	19.5	18.4	16.5	17.1	21.1	19.1	17.7	17.7
Operating profit	11.8	15.1	16.5	16.3	15.7	17.5	20.8	21.6	11.3	15.1	19.2	22.2
Pre-tax profit	13.2	15.8	18.0	15.9	16.8	18.5	21.6	22.3	12.2	15.8	20.1	22.9
Net profit	8.6	11.2	12.4	10.7	10.5	11.5	13.5	14.3	8.4	10.8	12.6	14.4
Y/Y(%)												
Net sales	30.3	19.9	34.0	41.5	28.6	39.6	36.2	33.1	5.0	31.8	34.4	36.3
Gross profit	40.2	24.8	33.7	59.1	42.2	41.0	46.0	48.9	16.5	39.2	44.9	47.6
OPEX	21.5	14.5	21.2	20.7	25.4	25.5	22.6	24.7	16.6	19.4	24.5	36.5
Operating profit	89.8	42.2	51.1	146.9	70.7	62.0	72.0	75.9	16.4	76.1	70.8	57.8
Pre-tax profit	78.7	30.2	52.7	160.7	63.7	63.4	63.9	87.4	5.5	71.2	70.6	55.6
Net profit	77.5	40.2	50.8	141.4	56.3	43.0	48.2	77.3	5.5	70.6	56.8	55.5
Q/Q(%)												
Net sales	4.1	4.3	21.2	7.5	(5.4)	13.2	18.3	5.0				
Gross profit	7.5	16.6	19.0	6.7	(3.9)	15.6	23.2	8.8				
Operating profit	31.2	33.0	32.9	6.5	(9.3)	26.2	41.1	9.0				
Pre-tax profit	59.2	25.0	37.9	(4.9)	(0.0)	24.7	38.3	8.7				
Net profit	42.5	36.3	33.4	(6.9)	(7.7)	24.7	38.3	11.4				

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Source: Company Reports, Citi Research Estimates

Bull/Bear: Delta Electronics (2308.TW)

NT\$ **2,200.00**
▲ 53% Upside

NT\$ **1,960.00**
▲ 36% Upside

NT\$ **1,000.00**
▼ 31% Downside



Spread 83pp
Current Price and expected returns (upside/downside) as of 17 Mar 2026



BULL Assumptions

- Target multiple at 40x



BASE Assumptions

- Sales to grow by 34-36% in 2026E-27E with OPM at 19.2-22.2%
- Target multiple at 35x



BEAR Assumptions

- Sales to grow by 5% in 2026E-27E with OPM at 12.0%
- Target multiple at 25x

Delta Electronics

Company description

Delta was established in 1975 and is the world's leading computer switching power supply manufacturer. Its business is divided into: 1) Power Electronics (59% of 2022 revenue), including Switching Power Supply, Components, Display and EV Solution; 2) Infrastructure (27% of revenue), including Wind power, Telecom power, UPS, EV Infrastructure, Networking; 3) Automation (14% of revenue), including Industrial Automation (IA), Building Automation; and 4) Others (<1% of revenue).

Investment strategy

We rate Delta Electronics shares as Buy due to its strong execution and the ability to expand margin through favorable product mix shift to AI power and thermal solutions. We believe EV business slowdown is in the price, and we expect margins to improve driven by AI solution spec upgrades and expanding business scale. Delta is now positioning itself as an infrastructure enabler rather than a pure component supplier, which deepens its key position in the AI supply chain.

Valuation

Our target price for Delta Electronics of NT\$1,960 is based on 35x 2027E EPS estimate. Our target multiple is set at the higher end of its trading range since 2023, which we believe is warranted by Delta's strong earnings growth and better product mix prospects. We also believe the company's leading industry position, long product development cycle, and strong engagement with customers should translate into high orders/earnings visibility.

Risks

Key downside risks that could impede the stock from reaching our target price are: 1) lower contribution from non-PC businesses; 2) products in the new businesses (LED lighting, electric vehicle, and Voice) growing more slowly than expected; and 3) PC power supply losing market share.

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Appendix A-1

ANALYST CERTIFICATION

The research analysts primarily responsible for the preparation and content of this research report are either (i) designated by "AC" in the author block or (ii) listed in bold alongside content which is attributable to that analyst. If multiple AC analysts are designated in the author block, each analyst is certifying with respect to the entire research report other than (a) content attributable to another AC certifying analyst listed in bold alongside the content and (b) views expressed solely with respect to a specific issuer which are attributable to another AC certifying analyst identified in the price charts or rating history tables for that issuer shown below. Each of these analysts certify, with respect to the sections of the report

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IMPORTANT DISCLOSURES

Delta Electronics (2308.TW)

Ratings and Target Price History Fundamental Research

Analyst: Citi Asia Research



	Date	Rating	Target Price	Closing Price
1	24-Apr-23 09:13:09	1	*365.00	302.50
2	01-Aug-23 09:14:17	1	*435.00	372.50
3	01-Nov-23 11:16:22	1	*395.00	287.00
4	01-Mar-24 10:25:56	1	*360.00	293.50

	Date	Rating	Target Price	Closing Price
5	02-May-24 08:54:00	1	*380.00	309.50
6	08-Jul-24 10:18:54	1	*472.00	402.00
7	01-Aug-24 11:07:09	1	*510.00	424.00
8	01-May-25 06:09:58	1	*455.00	333.50

	Date	Rating	Target Price	Closing Price
9	03-Jul-25 07:13:04	1	*550.00	459.00
10	31-Jul-25 09:49:29	1	*670.00	567.00
11	24-Sep-25 11:08:07	1	*1,175.00	891.00
12	30-Oct-25 12:21:32	1	*1,225.00	1,010.00

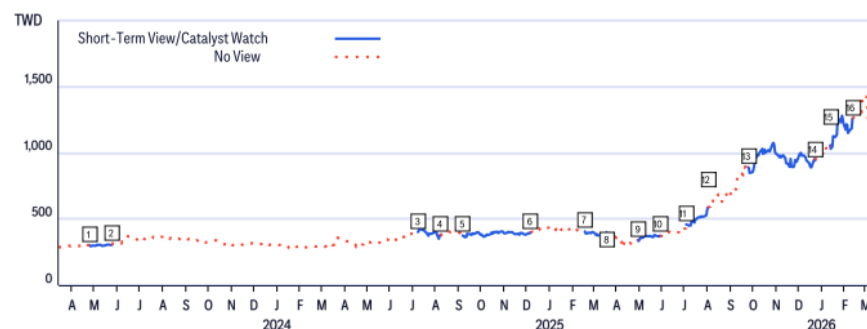
*Indicates Change

Rating/target price changes above reflect Eastern Time

Delta Electronics (2308.TW)

Short-Term View/Catalyst Watch Research

Analyst: Citi Asia Research



	Date	Action	Expected Direction	Duration	Closing Price
1	24-Apr-23 05:13:09	Add CW	Downside	30 Days	302.50
2	24-May-23 11:42:15	Remove CW	Downside	30 Days	305.00
3	08-Jul-24 06:18:54	Add CW	Upside	30 Days	402.00
4	07-Aug-24 21:42:20	Remove CW	Upside	30 Days	379.50
5	08-Sep-24 23:18:10	Add STV	Upside	90 Days	375.50
6	08-Dec-24 19:58:12	Remove STV	Upside	90 Days	399.00

	Date	Action	Expected Direction	Duration	Closing Price
7	17-Feb-25 04:02:18	Add CW	Downside	30 Days	406.00
8	19-Mar-25 21:44:33	Remove CW	Downside	30 Days	390.50
9	29-Apr-25 05:33:45	Add STV	Upside	30 Days	340.00
10	29-May-25 21:56:10	Remove STV	Upside	30 Days	374.00
11	03-Jul-25 03:13:04	Add CW	Upside	30 Days	459.00
12	01-Aug-25 14:03:10	Remove CW	Upside	30 Days	588.00

	Date	Action	Expected Direction	Duration	Closing Price
13	24-Sep-25 07:08:07	Add CW	Upside	90 Days	891.00
14	23-Dec-25 19:51:30	Remove CW	Upside	90 Days	943.00
15	12-Jan-26 00:13:05	Add STV	Upside	30 Days	1,055.00
16	11-Feb-26 19:44:45	Remove STV	Upside	30 Days	1,260.00

CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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